

**UNITED STATES OF AMERICA
BEFORE THE
FEDERAL ENERGY REGULATORY COMMISSION**

Interconnection of Large Loads to the
Interstate Transmission System

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Docket No. RM26-4-000

COMMENTS OF NATIONAL GRID PLC

Pursuant to the Notice Inviting Comments on the proposed Advance Notice of Proposed Rulemaking (“ANOPR”) released by the Secretary of Energy (“Secretary”) on October 23, 2025, and docketed by the Federal Energy Regulatory Commission (“Commission”) in this proceeding on October 27, 2025,¹ National Grid Plc (“National Grid”) respectfully submits these initial comments on behalf of its electric transmission subsidiaries in New England and New York (each of which are subsidiaries of “National Grid USA”) and its competitive energy development corporation, National Grid Ventures (“NGV”), which develops, operates, and invests in energy projects, technologies, and partnerships to accelerate the development of our clean, fair, and affordable energy future.²

I. OVERVIEW

National Grid strongly supports the statement of the Secretary that “large loads, including AI data centers, served by public utilities must be able to connect to the transmission system in a timely, orderly, and non-discriminatory manner.”³ Large commercial and industrial loads,

¹ *Interconnection of Large Loads to the Interstate Transmission System*, Notice Inviting Comments, Docket No. RM26-4-000 (Oct. 27, 2025).

² National Grid’s transmission owning affiliates regulated under the Federal Power Act (“FPA”) include Niagara Mohawk Power Corporation; New England Power Company; New England Electric Transmission Corporation; New England Hydro-Transmission Corporation; New England Hydro-Transmission Electric Company, Inc.; and Massachusetts Electric Company.

³ See Letter from Chris Wright, Secretary of Energy, U.S. Dep’t. of Energy, to Federal Energy Regulatory Commission, at 1 (Oct. 23, 2025). National Grid supports the Department of Energy’s limitation of Commission jurisdiction to those facilities that meet the definition of “transmission facilities” consistent with the Commission’s seven-factor test. ANOPR at P18.

including data centers, interconnecting to the nation’s electric grid will require significant upgrades to accommodate their high energy consumption levels and ensure reliability. National Grid’s own experience in New York and New England confirms the need to define the “rules of the road” for such large load interconnections. This initiative comes at a critical juncture, when the reliability and efficiency of the transmission system are more vital than ever. National Grid’s extensive operational experience underscores the need for rules that both facilitate the necessary investments in transmission infrastructure and maintain rigorous system reliability standards.

We recognize the strategic importance of these large loads and the opportunity to work collaboratively to find innovative solutions to connect them quickly by leveraging flexibility and/or locating them where spare capacity exists. Done well, this can reduce the amount of system upgrades required and/or be used as a bridge to allow faster connection given the time it takes to permit and build system upgrades. This can benefit existing ratepayers by reducing the risk they are exposed to higher costs associated with new system upgrades.

National Grid is actively working to implement solutions to make this possible, including through our engagements with companies such as Emerald AI and GridCARE, which focus on advanced analytics and flexible demand management. If integrated with flexibility, these loads can help contribute to overall cost efficiency and even lower rates for other customers.

We welcome the opportunity to contribute our perspective to this rulemaking process. We want to emphasize the importance of a coherent but adaptable framework that supports innovation and the enduring integrity of our electric grid. We recognize the urgency of this effort. The pace at which large loads are seeking interconnection is accelerating. The scale of investment required to accommodate these additions is unprecedented. It is essential that any

framework enables timely and efficient interconnections and manages these investments in a way that protects customers from undue cost burdens.

Below, National Grid highlights certain key principles that the Commission should consider when taking action in this proceeding.

First, the Commission should be mindful of the jurisdictional issues raised by the proposal that it assert jurisdiction over large load interconnections to the transmission grid. States have jurisdiction over all rates, terms, and conditions of service to end users of electric energy, including the interconnection of end users to the transmission grid. The Commission should frame its rulemaking to balance affordability, reliability, and growth for regions and customers. Federal jurisdiction over large load interconnections to the transmission grid should be positioned as an accelerant to State objectives. Assertion of FPA jurisdiction should be done in a manner that is narrowly tailored to interconnection as proposed in the ANOPR, so that the Commission's narrow jurisdiction over large load interconnection does not interfere with State jurisdiction over retail service while enabling collaboration that benefits customers and the grid.

Second, many States and regions have already begun their own efforts to address the challenges of large-load interconnections. For example, the New York Independent System Operator Inc. ("NYISO") already has large load interconnection procedures and is considering updates to those procedures. Any Commission rule in this proceeding should allow regional flexibility to build on procedures already in effect or to adapt general requirements to the unique needs of each region. A final rule should reflect this reality and be limited to truly large loads as defined on a region-by-region basis, which in most regions, including New York and New England, is likely to be at a higher MW threshold than 20 MW.

Third, in jurisdictions around the country, electric utilities are developing approaches to ensure that new large load customers bear their fair share of transmission costs, including through dedicated large load rate classes, long-term contracts, “take or pay” minimum bill requirements, and “exit fees” for early termination. These mechanisms help ensure that the incremental revenues contributed by large load customers appropriately reflect the utilities’ incremental costs to serve them. It would not be just and reasonable to apply a 100% up-front Contributions in Aid of Construction (“CIAC”) framework (as used for certain transmission facilities built to accommodate generator interconnections) to all transmission network upgrades triggered by large load interconnections. Cost allocation approaches should take into account the principle that “beneficiaries pay” for the cost of network transmission investment, including both requesting customers and all transmission system users where both benefit.

Any rule in this proceeding must also be pragmatic. Reliability and safety remain essential. The Commission must implement rules in a way that not only addresses benefits of connecting large loads at pace and scale, but also ensures that new risks are not imposed on the grid. The following are some key considerations the Commission should take into account:

- **Option to build:** Maintaining transmission owner control over network upgrades is essential to ensure consistency, safety, and long-term system integrity. National Grid currently supports and allows large load customers to construct sole-use interconnection facilities, subject to appropriate oversight and commissioning requirements.
- **Hybrid facilities:** Interconnection processes for hybrid facilities involving both load and generation should be more streamlined and responsive than generator

interconnection procedures under the Commission’s Order No. 2023.⁴ Otherwise, large load projects like data centers could easily be caught up in the extended generator interconnection cluster study process, which would delay their implementation. Rather than subjecting these projects to full cluster study timelines, the Commission could explore exemptions or streamlined processes for hybrid facilities where generation is primarily intended to serve the associated load. Any limitations on injection or withdrawal rights must avoid reliance on remedial action schemes that could impair reliability. Instead, clear operating parameters and enforceable technical limits can provide a practical path forward, ensuring that large loads remain reliable contributors to the system.

- **Flexible and curtailable large loads:** Large loads that agree to curtailment or other flexibility can help reduce or defer costly network upgrades, make better use of existing transmission capacity, and accelerate interconnection timelines. These arrangements, if paired with robust operational safeguards and compliance protocols, can unlock innovation and efficiency while maintaining reliability—consistent with the objectives of the ANOPR.

Finally, to account for State efforts to deal with large load interconnections and avoid disruptions to existing progress made by States, the Commission should allow for a reasonable transition period that allows substantial deference to State approaches already in effect, consistent with the proposal in the ANOPR.

⁴ See *Improvements to Generator Interconnection Procs. & Agreements*, Order No. 2023, 88 FR 61014 (Sept. 6, 2023), 184 FERC ¶ 61,054 (2023) (“Order No. 2023”).

II. DESCRIPTION OF COMMENTER

Direct and indirect subsidiaries of National Grid USA are engaged in: (i) electric transmission under Commission jurisdiction in New York, Massachusetts, Vermont, and New Hampshire; (ii) electric distribution to residential, commercial, and industrial customers in New York and Massachusetts; and (iii) the distribution of natural gas to residential, commercial, and industrial customers in New York and Massachusetts. National Grid has placed its New York transmission facilities under the operational control of the NYISO. National Grid has placed its New England transmission facilities under operational control of ISO New England, Inc. (“ISO-NE”). NGV operates in competitive markets outside of National Grid’s core regulated business activities in the United States and United Kingdom. NGV focuses on developing, operating, and investing in energy projects, technologies, and partnerships to accelerate the development of clean energy projects. As a result, NGV is an active participant in most of the regional transmission organizations (“RTOs”) and independent system operators (“ISOs”) throughout the United States, through generation and transmission development or investment in various projects or partnerships.

National Grid appreciates the opportunity to file comments on the ANOPR and is thankful for the U.S. Department of Energy’s leadership in presenting potential reforms to facilitate the interconnection of large loads to the transmission system in this proceeding, as any modifications to the interconnection requirements for such loads could have a significant impact on the operational efficiency, system reliability, and investment strategies underpinning both National Grid’s transmission facilities and the broader electric grid.

The outcome of this proceeding holds significant implications for the management and cost allocation of transmission investments more generally, as well as for ensuring predictability in the rules governing large load interconnections. Given that National Grid’s operations directly

support millions of customers across diverse and complex markets, any regulatory changes that could impact infrastructure planning, rate structures, or system reliability are of profound importance to National Grid's business and the communities we serve. National Grid looks forward to working with the Commission and other stakeholders to pursue a regulatory process that supports continued infrastructure investment and upholds the standards necessary to secure the reliability of the nation's transmission and distribution networks, while also maintaining affordable electric service for all retail load customers.

III. COMMENTS

A. Certainty is Needed on the Rules for Large Load Interconnections.

National Grid anticipates that a standardized set of rules for large load interconnections would be critical to addressing the uncertainties that both transmission owners and large loads such as data center developers frequently encounter during interconnection planning. Our experience has highlighted that uncertainty as to the "rules of the road" can result in inefficiencies, increased project timelines, and difficulties developing cost estimates. Establishing a uniform framework would not only streamline the interconnection process for large loads but also foster a degree of consistency across jurisdictions, thereby instilling greater confidence among all stakeholders.

This need for certainty is amplified by the strategic importance of large loads and the accelerating pace at which they seek interconnection. Clear, predictable rules will enable timely and efficient integration of these customers, supporting economic growth and innovation while maintaining system reliability. Done well, these efforts can also unlock opportunities for flexibility and cost efficiency, allowing large loads to locate where spare capacity exists and reducing the need for significant system upgrades, benefits that ultimately help keep rates affordable for all customers.

Using the well-established generator interconnection procedures as a starting point for any large load interconnection rules offers the benefit of familiarity and proven operational efficiency. However, as the Commission has acknowledged in the context of generator interconnection, it remains important to allow flexibility for regional variations, acknowledging the unique grid characteristics and market dynamics inherent in different areas.⁵ Successful adaptations to the Commission’s generator interconnection rules in regions such as New York and New England demonstrate that a tailored approach that maintains core federal standards can effectively address local challenges to the benefit of overall system reliability. In addition, the Commission should recognize the substantial differences between large load customers and generator interconnection customers in pursuing any reforms.

B. The Jurisdictional Issues Raised by the ANOPR Should Be Carefully Considered.

The ANOPR proposes that the Commission assert FPA jurisdiction over large load interconnections to the transmission system,⁶ representing a significant expansion of the jurisdiction claimed by the Commission. Traditionally, the Commission has left all regulation of service to end users to the States as retail service. For example, in Order No. 888, the Commission stated, “while we believe in most cases there will be identifiable local distribution facilities subject to state jurisdiction, we also believe that even where there are no identifiable local distribution facilities, states nevertheless have jurisdiction in all circumstances over the service of delivering energy to end users.”⁷ Consistent with this line between federal and State

⁵ See Order No. 2023 at P 1764 (allowing for flexibility in required interconnection frameworks in light of regional variations in operating and reliability requirements).

⁶ ANOPR at PP 13-16.

⁷ *Promoting Wholesale Competition Through Open Access Non-discriminatory Transmission Services by Public Utilities; Recovery of Stranded Costs by Public Utilities and Transmitting Utilities*, Order No. 888, 61 FR 21540, at 21626 (May 10, 1996), FERC Stats. & Regs. ¶ 31,036 (1996), *order on reh’g*, Order No. 888-A, 62 FR 12274 (Mar. 14, 1997), FERC Stats. & Regs. ¶ 31,048 (1997), *order on reh’g*, Order No. 888-B, 81 FERC ¶ 61,248 (1997), *order on reh’g*, Order No. 888-C, 82 FERC ¶ 61,046 (1998), *aff’d in relevant part sub nom. Transmission*

jurisdiction, the connection of large loads—*i.e.*, end users—to the transmission grid for purposes of obtaining retail delivery service has been historically regulated by the States. State regulators and other commenters are expected to raise concerns about the proposed assertion of jurisdiction over large load interconnections to the transmission system. National Grid urges the Commission to give such comments careful consideration.

Any regulatory shift should be carefully considered, ensuring that necessary State jurisdictional powers (namely, responsibility for overseeing retail electric services, setting retail service rates, and allocating costs across classes of retail rate customers) remain intact. This balance is vital for maintaining consistency in retail rate decisions that have evolved under State regulatory frameworks. For example, existing Massachusetts law mandates that all customers are served by local electric distribution utilities.⁸ For National Grid, Massachusetts Electric Company (“MECO”) is the National Grid retail electric distribution utility required to serve all retail load customers regardless of size, and MECO’s affiliate New England Power Company (“NEP”) owns and operates National Grid transmission facilities in Massachusetts. It is critical to preserve the existing customer relationship required by State law between MECO and load customers, even when a transmission-level interconnection is necessary. Maintaining this relationship allows MECO to determine if a distribution, sub-transmission, or transmission interconnection is required, and would allow consistency across all customer classes. The Commission should clarify that its jurisdiction over transmission interconnection requirements does not alter this relationship or interfere with State authority over retail service terms and conditions.

Access Policy Study Group v. FERC, 225 F.3d 667 (D.C. Cir. 2000), *aff’d sub nom. New York v. FERC*, 535 U.S. 1 (2002).

⁸ See Mass. Gen. Laws ch. 164, § 92 (“Right of User to Gas or Electricity”).

At the same time, jurisdictional clarity should serve as an enabler of speed, scale, and innovation, not as an irritant or workaround to State authority. A shared governance model that positions federal jurisdiction as an accelerant to State objectives, such as affordability, reliability, and resilience, will foster trust and collaboration. Large loads often have national footprints and plan competitively across regions; aligning federal and State roles can help attract these investments while maintaining system integrity and customer protections.

Should the Commission move to assert FPA jurisdiction over large load interconnections to the transmission system, such federal authority should be exercised in a narrow and carefully defined manner. Specifically, and consistent with the ANOPR's proposed approach,⁹ federal oversight should be focused exclusively on aspects such as transmission interconnection requirements and procedures, thereby leaving intact State control over rates, terms, and conditions for end-user services. This structured approach both respects State jurisdiction and ensures that federal involvement does not unnecessarily complicate the established regulatory landscape.

C. The Commission Should Allow for Regional Flexibility and Complement In-flight Regional Initiatives.

To effectively implement any new framework for large load interconnections, it is critical that the final rule allows for regional flexibility. Recognizing that the landscape of transmission operations varies significantly across different jurisdictions, this approach permits ISOs, RTOs, and public utility transmission owners to implement any new regulatory framework based on the unique market characteristics and coordination needs in their regions. Such adaptability also ensures that the resulting federal regulatory requirements remain sensitive to local market dynamics and State-focused retail oversight.

⁹ See ANOPR at P 15.

This flexibility is not just a matter of regulatory efficiency, it is essential to achieving the urgency and scale required to integrate strategically important large loads quickly and reliably. Regions that can build on existing procedures, rather than starting from scratch, will be better positioned to meet the accelerating pace of interconnection requests. For example, the NYISO already has procedures in place to study large loads interconnecting to the transmission system. Allowing the NYISO and other regions to leverage these existing processes will help avoid unnecessary delays and support innovation.

Regional flexibility creates space for collaborative solutions that align with State objectives while leveraging federal authority as an accelerant. This approach respects local conditions while enabling a cohesive national framework that promotes reliability, affordability, and resilience. By encouraging regions to think strategically about opportunities to attract large loads and optimize existing capacity, the Commission can help ensure that interconnection reforms deliver benefits for both new customers and existing ratepayers.

D. The Threshold for Defining Large Loads Should Be Determined on a Region-by-Region Basis.

National Grid is concerned that a bright line 20 MW test for defining “large loads”¹⁰ will not be workable in many regions of the nation. Such a low threshold could subject smaller projects with minimal reliability impact or required upgrades to a cluster study process or other large load interconnection process in the NYISO and ISO-NE regions that extends for a long time. Many projects above 20 MW, such as small commercial or industrial development projects could be connected faster outside of a large load interconnection process and connecting them faster supports economic development within the areas we serve. A higher threshold, such as 50 MW or 80 MW, may be more appropriate in some regions. In addition, the MW threshold could

¹⁰ See *id.* at P 19.

be different depending on the voltage of the transmission facility to which a large load is connecting, as is the case in the NYISO today.¹¹ For these reasons, the Commission should allow each region to determine the MW threshold for defining a large load.

E. The Commission Should Account for the Substantial Differences Between Large Load and Generator Interconnection Customers.

Although the standardization principles underpinning the Commission's generator interconnection rules might provide a starting place for a potential standardized framework governing the interconnection of large loads, it is critical to acknowledge the differences between the two types of entities and establish rules for the interconnection of large load that are consistent with its characteristics. Large loads interconnecting to the transmission system and generator interconnection customers occupy fundamentally different roles within the electric grid. Generators function as wholesale electricity suppliers, feeding power into the system, while large loads are retail end-use consumers that draw power from the grid and pay delivery charges for their use of the electric system. Generators are engaged in the wholesale sales of electricity and do not pay for transmission service in the ISO-NE and NYISO regions. On the other hand, all load customers pay for transmission service, whether they obtain it directly or more often indirectly as part of a bundled service from their local distribution company. Because of these differences, rules that are just and reasonable for generator interconnection customers quite likely will not be just and reasonable as applied to large loads interconnecting to the transmission grid. Developing a final rule that respects this distinction is crucial because the appropriate regulatory considerations for these two types of entities differ significantly.

¹¹ See NYISO, Load Interconnection Procedure and Applicability (Nov. 10, 2022) <https://nyiso.my.site.com/MemberCommunity/s/article/Load-Interconnection-Procedure-and-Applicability>.

The implications for transmission investment are also quite different. Large load interconnections are anticipated to drive substantial transmission investments given the significant modifications required to accommodate high energy consumption levels and ensure reliability. Generator interconnections, while critical, typically entail lower levels of transmission investment as their purpose revolves around dispatchable power injection rather than firm high-volume consumption. These distinctions support substantially different treatment of large load interconnections than the Commission's treatment of generator interconnection customers.

F. Commission Policy Should Reflect Cost Allocation That Protects Customers.

The ANOPR contemplates allocation of certain network upgrade costs to large load and hybrid facilities, drawing on the generator interconnection model.¹² National Grid believes it is in the interest of all parties to protect native retail load customers. If transmission investment needed to accommodate large loads results in upward bill pressure for other existing customers, this could foster affordability concerns and prompt consumer backlash, which might imperil investment in beneficial data centers and AI infrastructure. Further, it is important that smaller native load customers do not end up subsidizing infrastructure that might not be needed but for these large load interconnection customers.

While a direct assignment method may work for generator interconnections (where generators do not pay ongoing revenues), it would be problematic if applied to large load interconnections (where customers do). Commission policy should allow rate-based recovery of network upgrades through rates charged to all customers, subject to State oversight, because network upgrades benefit all customers using the integrated transmission system and therefore,

¹² ANOPR at P 25

unlike “sole-use” customer interconnection facilities, they should be paid for by all customers using the transmission system.

Courts have also recognized that any rate design under the FPA must allocate infrastructure costs to the customers who benefit from such investments:

[T]he Commission's adoption of a beneficiary-based cost allocation method is a logical extension of the cost causation principle. Under that basic tenet, which we have repeatedly embraced, “costs are to be allocated to those who cause the costs to be incurred and reap the resulting benefits.”¹³

In jurisdictions around the country, electric utilities are developing approaches to ensure that new large load customers bear their fair share of transmission costs, including through dedicated large load rate classes, long-term contracts, “take or pay” minimum bill requirements, and “exit fees” for early termination. These mechanisms help ensure that the incremental revenues contributed by large load customers appropriately reflect the utilities’ incremental costs to serve them.

It would not be just and reasonable to apply a 100% up-front CIAC framework as used for certain transmission facilities built to accommodate generator interconnections to all transmission network upgrades triggered by large load interconnections. Such cost allocation would unreasonably burden smaller commercial and industrial customers whose requests trigger large upgrades on constrained parts of the system, with the potential for this level of cost burden to stymie valuable economic development opportunities. Furthermore, fully assigning network upgrades to connecting customers would create free-ridership among other customers who benefit from those investments contemporaneously or over the full lives of those network assets.

¹³ *S.C. Pub. Serv. Auth. v. FERC*, 762 F.3d 41, 85 (D.C. Cir. 2014) (quoting *Nat'l Ass'n of Regulatory Util. Commis. v. FERC*, 475 F.3d 1277, 1285 (D.C. Cir. 2007)).

Long-standing practices for recovering transmission network infrastructure through rates over time avoids both of these issues.

Additionally, 100% up-front paid CIACs do not traditionally include a return component. Even assuming such an approach is just and reasonable as applied to the targeted transmission upgrades needed to accommodate generator interconnections, it would not be just and reasonable as applied to the dramatically larger transmission investments needed to provide service to large load end-use customers. Today, large load end users that are directly connected to the transmission grid pay a return on transmission facilities built to provide service to those large loads in one of two ways: (1) the large load obtains retail delivery service from a distribution company that pays for transmission service under cost-of-service rates that allow the transmission owner to earn a return on its investment; or (2) the large load obtains unbundled transmission service directly and pays for transmission service under cost-of-service rates that allow the transmission owner to earn a return on its investment.

A rate design where a public utility is not permitted to earn a sufficient return on the significant capital investment necessary to provide interconnection service to large loads would violate Supreme Court standards and deprive public utilities of their property in violation of the Constitution.¹⁴ In essence, such an approach would compel public utilities to provide service over their property on a not-for-profit basis, undermining fundamentals of the investor-owned utility model.¹⁵

¹⁴ See *Bluefield Water Works Co. v. Publ. Serv. Comm'n.*, 262 U.S. 679, 690 (1923) (“Rates which are not sufficient to yield a reasonable return on the value of the property used at the time it is being used to render the service are unjust, unreasonable, and confiscatory, and their enforcement deprives the public utility company of its property in violation of the Fourteenth Amendment.”).

¹⁵ See *FPC v. Hope Nat. Gas Co.*, 320 U.S. 591, 603 (1944).

Allowing large load customers to fund 100% or the majority of their transmission investments through CIAC payments without returns would force other transmission and retail customers to shoulder a disproportionate portion of the associated costs. Investors would still expect an overall return on their equity investments in public utilities, which return would need to be earned solely from transmission customers not falling under the large load interconnection rule. This disparity in cost allocation would be unduly discriminatory, as it favors new large spot load interconnection customers at the expense of other customers, while providing the majority of the benefits to those large spot load interconnection customers.

Should the Commission determine that its existing precedent for cost allocation of network upgrades does not apply for certain new types of large loads, the Commission could confirm that the direct assignment of transmission costs to a large load customer does not preclude a public utility's ability to structure its recovery from the large load customer as payments over time, inclusive of the return on assets traditionally derived from transmission or retail load customers. In the alternative, and subject to State laws regarding the unbundling of transmission service, the Commission could treat large loads connecting to the transmission grid as a type of transmission customer, paying cost-of-service rates with a return component.

G. The Commission Could Provide Guidance on Applying “Beneficiary Pays” Methodologies to Network Upgrades to Support Keeping Rates to Retail Customers Affordable.

National Grid believes that the cost allocation principle that “beneficiaries pay” may require a specific application considering the unique circumstances created by the unprecedented additions of large loads to the transmission system. Even though looped network facilities are often viewed as providing benefits to all customers, the large loads themselves may be a primary beneficiary of network upgrades built to accommodate their projects. More specific “beneficiaries pay” approaches may be warranted in this context.

Recognizing that large load customers are a primary beneficiary of network upgrades built to accommodate their addition to the system will ultimately benefit all parties. Requiring new large loads to pay their fair share under a defined beneficiaries pays cost allocation framework could provide added certainty, facilitating beneficial infrastructure investment.

H. The Commission Should Ensure Network Upgrades Are Performed by Transmission Owners to Maintain Reliability, While Allowing Option-to-Build for Sole-Use Interconnection Facilities.

Allowing large load interconnection customers the option to construct their own network upgrades introduces risks that could jeopardize overall system reliability. National Grid believes that maintaining transmission owner control over these upgrades is essential to ensure consistency, safety, and long-term system integrity. At the same time, National Grid currently allows, and supports continuing to allow, large load customers to construct interconnection facilities utilizing the utility's applicable standards and the approved contractor list supplied by the utility. The utility must also be allowed to review and approve the engineering and construction.

National Grid recommends that transmission owners retain responsibility for all network upgrades as the complexity of network upgrades requires not only regulatory oversight, but also the nuanced understanding that comes from centralized management by dedicated and experienced utility personnel.

I. The Interconnection of Hybrid Facilities Involving Both Load and Generation Should Be Streamlined to Encourage Co-Location.

To fulfill the objectives of promoting technology investments, large load interconnection processes should be more streamlined and responsive than generator interconnection procedures implemented pursuant to Order No. 2023. The generator interconnection process is strictly defined and would limit large loads from submitting interconnection requests to a specific

window. If they miss this window, large loads would need to wait as much as two years for the next cluster study.

The NYISO experience is illustrative. The generation transitional cluster study is on an approximately 567-day cycle. While it is reasonable for studies of the interconnection of large loads to be coordinated with generator interconnection studies,¹⁶ such coordination should proceed on a timeline that provides flexibility to ensure studies can be completed in a timely manner to support interconnecting large loads efficiently. Moreover, due to the disparate needs of each region, this is one way where regional flexibility will be important.

At the same time, the Commission should consider approaches that make this requirement consistent with the objective of encouraging co-located generation. For example, rather than subjecting these projects to full cluster study timelines, the Commission could explore exemptions or streamlined processes for hybrid facilities where generation is primarily intended to serve the associated load. Such approaches could include tailored study tracks and clear operating parameters that maintain reliability while enabling innovation. By promoting efficient study processes and encouraging hybrid configurations, the Commission can help unlock the benefits of co-location, such as reduced transmission investment, improved resource adequacy, and enhanced resilience, while advancing its goals of speed, reliability, and affordability.

J. The Commission Should Promote Efficient Study Processes for Hybrid Facilities While Maintaining Reliability.

Hybrid facilities that involve both load and generation present unique challenges, but they also offer opportunities to reduce overall supply costs for operating the grid. The

¹⁶ See ANOPR at P 20.

Commission should ensure that study processes for hybrid facilities are designed to support timely interconnection without compromising reliability.

We recommend that hybrid facilities not be studied on the same timeline as generation projects, as doing so could unnecessarily delay large load interconnections. Instead, a tailored approach can allow these projects to proceed more expeditiously while still coordinating with generator interconnection studies where appropriate.

While flexibility is valuable, any limitations on injection or withdrawal rights must be implemented carefully to avoid reliance on remedial action schemes that could impair reliability. Practical solutions include defining clear operating limits in contracts and ensuring that system planning accounts for maintenance and operational realities. These measures can help manage risks effectively while enabling hybrid facilities to contribute positively to system efficiency.

K. Flexible and Curtailable Large Loads Can Deliver Significant Benefits with Proper Safeguards.

National Grid supports a speedy approach to all large load interconnections and believes that flexibility and curtailment commitments can play an important role in achieving this goal. Large loads that agree to be curtailable or otherwise flexible offer the potential to reduce costly network upgrades, make better use of existing transmission capacity, and accelerate interconnection timelines. These arrangements can help buy time for longer-term infrastructure investments and, if implemented thoughtfully, may even put downward pressure on rates for other customer classes by avoiding unnecessary capital expenditures. Done well, flexibility can unlock opportunities for innovation and efficiency, consistent with the objectives outlined in the ANOPR.¹⁷

¹⁷ National Grid notes with interest the comments being filed in this proceeding by the Advanced Energy Management Alliance (“AEMA”) which suggest a fast-track Flexible Load Fast Track for facilities that can verifiably adjust their consumption in response to system conditions and deliver flexibility to the grid. National

At the same time, these benefits must be balanced against reliability and operational realities. Connecting sizable loads directly to the transmission grid requires studies that remain consistent with Good Utility Practice, and curtailment commitments can introduce complexity into those studies. Flexible arrangements also require robust operational protocols to ensure that loads comply with dispatch signals when needed to maintain system reliability. While many large loads—such as data centers—typically seek highly reliable service with minimal interruptions, there is growing interest in creative solutions that align customer needs with grid capabilities, such as Emerald AI’s Conductor platform, an AI-powered orchestration system that dynamically manages data center workloads in real time to reduce power consumption during grid stress events.

L. Any Final Rule Should Allow For a Reasonable Transition Period.

Establishing a reasonable transition period is essential to ensure a smooth regulatory shift while maintaining continuity for large load interconnection projects already in advanced stages under retail interconnection procedures. This approach recognizes that significant investments have been made in reliance on the existing regulatory framework. By allowing these projects to proceed without disruption, similar to the transition period implemented as part of the Commission’s generator interconnection reforms under Order No. 2023,¹⁸ stakeholders can avoid the costly delays and uncertainties that might result from an abrupt regulatory change. Offering regions the flexibility to implement a defined transition period will both facilitate an orderly

Grid appreciates AEMA’s suggestions and agrees with the objective of using large load flexibility to reduce upgrade requirements and increase speed of connection. While the ANOPR seeks comment on a 60-day timeline for interconnection studies for large loads, ANOPR at P 24, National Grid observes that flexible load studies are novel and may introduce additional requirements to ensure all applicable NERC and FERC reliability standards are met. Furthermore, we suggest the Commission bear in mind that savings in interconnection timelines from potentially avoided upgrade requirements are likely to be larger than savings from shorter timelines for technical studies.

¹⁸ See Order No. 2023 at P 856 (acknowledging the importance of transition processes to allow interconnection customers, along with other market participants, time to adjust to new processes and requirements).

evolution towards new interconnection rules and promote regulatory fairness by respecting the planning and development efforts already underway.

Moreover, it is crucial that large load interconnection projects nearing completion under existing regulatory processes are not subjected to re-evaluation under new interconnection criteria. Imposing reevaluation requirements at the end stages of development could lead to unnecessary complications, increased costs, and detrimental delays. Ensuring that these projects remain governed by the rules in effect at the initiation of their development provides certainty to investors and other project stakeholders. Ultimately, a balanced transition protocol that exempts mature projects from a disruptive reevaluation ensures both the completion of critical infrastructure development and the effective implementation of any new regulatory frameworks.

Accommodating significant regional differences is essential to avoid conflicts between the transmission and retail regulatory realms. By allowing for the Commission's final rule to reflect local conditions, the framework can prevent the imposition of a one-size-fits-all mandate that might otherwise disrupt the balance between growing transmission needs and retail regulatory protections.

IV. CONCLUSION

The growing demands on the nation's grid present not only challenges but also significant opportunities. Large loads, particularly those driven by AI and other advanced technologies, are strategically important to economic growth and innovation. Done well, connecting these loads quickly and efficiently can deliver benefits for all customers by ensuring that new loads contribute to the fixed costs of the existing network, helping to keep rates affordable.

To achieve these outcomes, the Commission should adopt a framework that respects regional differences, promotes practical solutions, and encourages innovation. Streamlined study

processes, clear operating parameters, and cost allocation grounded in fairness will help ensure that reforms deliver benefits for both new customers through faster connection and existing ratepayers while maintaining system reliability. Approaches that enable large loads to locate where spare capacity exists and leverage flexibility to reduce the need for costly upgrades will be critical to success.

The Commission should also consider policies that encourage co-located generation and hybrid facilities, which can reduce transmission investment and improve resilience. Tailored study tracks and exemptions for projects where generation primarily serves the associated load can unlock these benefits without compromising reliability. By promoting efficient processes and supporting advanced technologies, the Commission can help modernize the grid while meeting urgent interconnection needs.

Flexibility will play a critical role in achieving these outcomes. By encouraging and incentivizing large loads to provide flexibility, we can accelerate interconnection timelines. National Grid is actively investing in solutions to enable this, including advanced analytics and demand management tools, because we believe flexibility is key to unlocking a more efficient and resilient grid.

National Grid is committed to working with the Commission and stakeholders to develop pragmatic, forward-looking policies that achieve these goals. By focusing on collaboration, flexibility, and fairness, we can ensure that large loads are connected in ways that benefit both new customers and existing ratepayers, while maintaining the integrity and reliability of the transmission system.

Respectfully submitted:

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